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United Arab Emirates

Individual - Other taxes

Last reviewed - 09 September 2026

Social security contributions

There is a social security regime in the United Arab Emirates that applies to qualifying UAE and other GCC national employees only. Non-GCC nationals are not subject to social security in the United Arab Emirates.

For UAE national employees, social security contributions are calculated at a rate of 20% of the employee's gross remuneration as stated in the local employment contract. Social security obligations also apply to employees of companies and branches registered in a Free Zone. Out of the 20%, 5% is payable by the employee, 12.5% is payable by the employer, and an additional 2.5% contribution is made by the government. A higher rate of 26% is applied in the Emirate of Abu Dhabi, where the contribution of the employer is increased to 15%, the government's contribution is increased to 6%, and the employee's contribution remains 5%.

For other GCC nationals working in the United Arab Emirates, social security contributions are determined in accordance with the social security regulations of their home country.

The employer is responsible for withholding and remitting employee social security contributions.

In the Dubai International Financial Centre (DIFC), the DIFC Employee Workplace Savings Scheme (DEWS) has been introduced, replacing the End of Service Gratuity Benefit (EOSG) , with the aim of protecting long-term employee savings. The new scheme was rolled out on 1 February 2020, and employers now are required to make monthly contributions to DEWS or an alternative regulated Qualifying Scheme, as opposed to paying a lump sum 'gratuity payment' to an employee at the end of their employment. Employers are required to contribute monthly contributions of 5.83% or 8.33% of the employee's basic salary (the actual percentage is contingent upon the employee's length of service) into the scheme.

Unemployment insurance scheme

The unemployment insurance scheme introduced in Federal Decree-Law No. 13 of 2022 applies to Emirati and foreign workers and entered into effect on 1 January 2023. The scheme provides financial support to qualifying individuals in the public and private sectors in the event of unemployment.

The scheme divides subscribers into two categories: (i) those who earn AED 16,000 or less as basic salary per month and (ii) those who earn more than AED 16,000 as their monthly basic salary. Those who fall under the former category are required to pay a monthly subscription fee of AED 5, while those who fall under the latter category must pay a monthly subscription fee of AED 10. The obligation for the deduction of the monthly subscription fee falls on the employee.

While the scheme is mandatory for Emirati and foreign workers in the private and public sectors, it does not apply to the following groups:

- Investors.
- Domestic workers.
- Employees contracted on a temporary basis.
- Minors (those under the age of 18).
- Retirees who are already receiving pensions and who have joined a new employer.

Capital gains taxes

There is currently no personal income tax in the United Arab Emirates. As such, capital gains tax is not imposed on UAE national or resident individuals.

Consumption taxes

Value-added tax (VAT) was implemented in the United Arab Emirates on 1 January 2018.

See Value-added tax in the Other taxes section of the Corporate tax summary for more information.

Net wealth/worth taxes

There are currently no wealth taxes imposed on individuals in the United Arab Emirates.

Inheritance, estate, and gift taxes

There are currently no inheritance, estate, or gift taxes imposed on individuals in the United Arab Emirates.

Municipal or property tax

Most Emirates impose a municipality tax on properties, mostly by reference to the annual rental value. It is generally the tenants' obligation to pay the tax. In some cases, separate fees are payable by both tenants and property owners. For example, in the Emirate of Dubai, the municipality tax on property is currently imposed at 5% on annual rental value for commercial properties, also known as 'market fees' (paid by property owners), and 5% for residential properties, also known as 'housing fees' (paid by tenants and owners if no tenant).

A registration fee may be levied on transfer of ownership of land or real property. For example, a land registration fee is levied in the Emirate of Dubai at a rate of 4% of the fair market value of the property on any third-party sale (a cost generally borne by a buyer), payable to the Dubai Land Department. In Dubai, the registration fee may also apply on the direct or indirect transfer of shares in an entity that owns real property.

These levies are imposed and administered differently at varying rates by each Emirate.

Luxury taxes

There are currently no luxury taxes levied in the United Arab Emirates.

Hotel tax and tourism levies

Most Emirates impose hotel levies, which apply on the value of hotel room rental, services, and entertainment. These levies are imposed and administered differently by each Emirate.

In addition to tourism fees, the Emirate of Dubai also requires hotels to levy a 7% municipality fee on each hotel sale. Likewise, in the Emirate of Abu Dhabi, hotels are required to levy a 4% municipality fee. A hotel sale is revenue generated by a hotel for services provided to their guests or visitors, which includes rent for the hotel room, food, beverages, and other services.

Hotels in all Emirates levy an additional service charge equivalent to 10% of the hotel sale revenue.

Individual - Residence

Individual - Income determination

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